

ECON 2010 Principles of Microeconomics

Week 2 Recitation

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Office Hours: Mondays & Wednesdays 2:30 PM – 4:00 PM

Recitation Attendance & Policies

- **5% of your grade:** Attendance will be taken at the end of each section.
- **No Make-Ups:** Activities cannot be made up outside of your scheduled classroom time.
- **Absence drops:** Three days of attendance will be dropped.
- **Extra credit:** There will be several opportunities to earn extra credit in recitation throughout the semester!

Core Principles of Economics

The four fundamental frameworks for analyzing decision-making

1. Cost-Benefit Principle

Evaluate all costs and benefits of any choice. Pursue only if the benefits are at least as large as the costs.

Core Question: "Is benefit $\geq$ cost?"

2. Opportunity Cost Principle

The true cost of any choice is the next best alternative you must give up to get it. Sunk costs are not opportunity costs and must be ignored.

Core Question: "Or what?"

3. Marginal Principle

Decisions about quantities are best made incrementally. Keep expanding/doing a choice until your marginal benefits equal marginal costs.

Core Question: "One more unit?"

4. Interdependence Principle

Your best choice depends on other choices, other people, different markets, and how decisions play out over time.

Core Question: "What else changes?"

Applying the Core Principles in Order

A systematic framework for solving microeconomic problems

- ➊ **Marginal Principle:** Address "marginal" questions first, instead of complex "how many" questions as a whole.
- ➋ **Cost-Benefit Principle:** Assess and quantify the marginal costs and marginal benefits of the incremental decision.
- ➌ **Opportunity Cost Principle:** Identify the true opportunity costs. Ask: "What next best alternative am I giving up?"
- ➍ **Interdependence Principle:** Account for broader effects: dependencies between choices, markets, and across time.

Practice Worksheet: Applying the Principles

Worksheet Activity Instructions

- **Form Groups of 2 to 3:** Introduce yourselves to your neighbors and collaborate on the practice worksheet.
- **Navigate to Canvas:** Log in to Canvas, go to the course home page, and find the practice worksheet link under the Recitation column in the Course Schedule for Week 2.
- **Work on Problems:** Work through the problems in your groups for the next 25–30 minutes. Discuss your reasoning and help each other understand the solutions.
- **Review the Answers:** We will review the answers together as a class.